

PRINCIPLES OF TAXATION LAW

Consolidated Examination Notes

Units I to V, up to Income from House Property

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Section numbers are those of the Income-tax Act, 2025, with the corresponding section of the Act of 1961 noted where useful.

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Unit I: Introduction to Taxation

1.1 Meaning of tax

A tax is a compulsory payment to the government for which the payer gets nothing directly in return. It is called an unrequited payment because the taxpayer cannot point to any particular service bought with his tax. The money goes into a common fund and is spent for public purposes.

Two consequences follow. **Payment does not depend on the taxpayer's consent**, so no one may refuse because he disapproves of the spending. **No taxpayer can demand a specific benefit in exchange**, and this is what separates a tax from a fee and from a price.

1.2 History of taxation

Ancient states taxed what could be counted: land, produce, livestock, salt and trade. The word tax comes from the Latin *taxare*, to assess or estimate. Kautilya's *Arthashastra*, Book II, deals with revenue administration in ancient India, and Magna Carta in 1215 recorded that taxation requires common consent.

Modern income tax begins in Britain with war. **William Pitt the Younger introduced it in the budget of December 1798, operative from 1799**, to fund the war against France. Incomes above two hundred pounds were taxed at ten per cent, incomes between sixty and two hundred pounds at graduated lower rates, and incomes below sixty pounds were exempt. Robert Peel reintroduced it in 1842 and the Crimean War made it permanent.

In India, income tax was introduced by Sir James Wilson in 1860, to meet the loss caused by the revolt of 1857. The statutes then follow in sequence: the Income Tax Act of 1886, the Act of 1918, the Act of 1922, the Income-tax Act of 1961, and the Income-tax Act of 2025.

1.3 Purpose of taxation

The first purpose is **revenue**, since defence, courts, police, roads, schools and welfare must be paid for. The second is **economic stability**, because raising taxes in a boom cools demand and cutting them in a slump supports it. The third is **redistribution**, placing more of the burden on those who have more, on the argument that money matters less to a person who already has plenty.

The fourth is **deterrence**. Taxes on alcohol, tobacco, sugar, pollution and congestion raise the price of harmful activity. These are called **Pigouvian taxes**, after A.C. Pigou (1877 to 1959), and the object is to make the person carrying on the activity bear its full social cost. A criticism of practice, rather than a purpose, is that tax can be used to favour supporters, shield weak producers or target groups out of favour.

The Laffer curve (Arthur Laffer, 1974) warns that beyond an optimal rate, raising rates reduces revenue, because people work less, retire early, move abroad or evade. It is a caution about rate setting, not a measurement.

Taxation and economic management. Tax is one of the two arms of fiscal policy, the other being public expenditure. Government uses rates, reliefs and exemptions to encourage saving and investment, to direct capital towards chosen industries, and to restrain consumption where it thinks fit. The limits are practical rather than legal: a tax change takes time to legislate, longer to take effect, and its results are difficult to predict.

1.4 The free rider problem

Defence, policing and the courts benefit everyone and cannot be withheld from a person who refuses to pay. Such a person is a **free rider**. Since voluntary contribution would collapse once

free riding spread, compulsory taxation is the answer. **This is the strongest justification for taxation**, though it raises the objection that the State uses force against its own citizens.

1.5 Types of taxes

Direct tax. Paid by the very person on whom it is imposed, and the burden cannot be passed on. Income tax, corporation tax and wealth tax are examples. It is **proportional** where everyone pays the same marginal rate, so a high earner pays more only because his base is larger, and **progressive** where the marginal rate itself rises with income. Not every direct tax reflects ability to pay, since a poll tax is a flat sum per head. Critics of progression say high marginal rates weaken the incentive to work and encourage evasion.

Indirect tax. Remitted by producers or sellers but passed on to consumers in the price, so the person who pays the government and the person who bears the burden are different. Goods and services tax, excise and customs are examples. An **ad valorem** tax is a percentage of value; a **specific** tax is a fixed sum per unit, so a cheap and a premium bottle bear the same duty. Such taxes are criticised as regressive, because necessities take a larger share of a poor household's budget.

Transfer tax. Levied on the formal transfer of ownership of land, buildings, shares or bonds. Stamp duty, gift tax and inheritance tax fall here.

Knowlton v. Moore, 178 U.S. 41 (1900), United States Supreme Court

Facts. The federal legacy tax under the War Revenue Act of 1898 was challenged as a direct tax, which would have had to be apportioned among the States by population.

Decision. The tax was upheld.

Principle. A death or legacy duty is not a tax on property. **It is a tax on the transmission of property, that is on the privilege of succeeding to it**, and so belongs with duties and excises rather than direct taxes. This is why transfer taxes are classed as indirect.

1.6 Impact, incidence and shifting

Impact is the point at which a tax is first levied, that is the person legally liable to pay it. **Incidence** is where the burden finally rests once any shifting has taken place. **Shifting** is the passing of that burden to someone else, forward to consumers through higher prices or backward to suppliers through lower payments.

For a direct tax the impact and the incidence fall on the same person; for an indirect tax they fall on different persons. That difference is the whole point of the classification in paragraph 1.5. It also means the statutory taxpayer is not always the real taxpayer, so the fairness of a tax cannot be judged from the words of the statute alone.

1.7 Tax planning, avoidance and evasion

Table 1.1: The three compared

	What it is	Legal position
Tax planning	Using the reliefs, exemptions and structures the law itself provides	Lawful and permitted
Tax avoidance	Using artificial or colourable devices that satisfy the letter of the law but defeat its object	Technically lawful, but curtailed by the courts and now by GAAR
Tax evasion	Concealing income, falsifying accounts, making false claims	Illegal and punishable

McDowell and Co. Ltd v. Commercial Tax Officer, (1985) 3 SCC 230, is cited for the proposition that a colourable device adopted to avoid tax deserves no protection from the courts. **Caution:** the majority decided the case on the narrower question before it, and the well known strong observations against avoidance are those of Chinnappa Reddy J. in a separate judgment, so they should not be presented as the ratio of the majority.

GAAR is the statutory counterpart, now in **sections 178 to 184** of the Act of 2025 (Chapter X-A, sections 95 to 102 of the Act of 1961). It applies to an **impermissible avoidance arrangement**, meaning one whose main purpose is a tax benefit and which lacks commercial substance. Under the Income-tax Rules it is not invoked where the tax benefit does not exceed three crore rupees.

1.8 Tax, fee, cess, surcharge and toll

Table 1.2: The five levies distinguished

Levy	Nature	Key feature
Tax	Compulsory exaction for public purposes	No quid pro quo; goes into general revenue
Fee	Charge for a service, licence or privilege	Related to the cost of the service or of regulation
Cess	A tax earmarked for a stated purpose	Health and Education Cess at 4 per cent of tax plus surcharge; outside the divisible pool
Surcharge	A tax upon tax, under Article 271	For Union purposes; not shared with the States
Toll	Charge for the use of a facility	Paid for using a road, bridge or similar facility

Two consequences matter in an answer: **a regulatory fee needs no quid pro quo**, and cesses and surcharges stay outside the pool of revenue divided with the States.

Delhi Race Club Ltd v. Union of India, (2012) 8 SCC 680 (SC, 13 July 2012)

Facts. Rules for horse racing in Delhi were amended to raise the licence fee from two thousand to twenty thousand rupees per race day, and the wagering licence fee from five hundred to five thousand rupees. The club challenged the increase on two grounds: excessive delegation, and that a levy with no service in return was really a tax imposed without authority of law.

Decision. The increase was valid. The essential legislative function had been retained by the legislature, and the levy was a regulatory licence fee, not a tax.

Principle. A licence fee may be **compensatory** or **regulatory**. A compensatory fee is charged for specific services and needs an element of quid pro quo broadly matching the cost, though not exact arithmetical equivalence. **A regulatory fee is charged because the activity needs to be controlled, requires no quid pro quo, and remains a fee and not a tax, provided it is not excessive.**

Unit II: Constitution and Taxation, and Interpretation of Tax Statutes

2.1 Article 265: no tax without authority of law

No tax shall be levied or collected except by authority of law. Both the levy and the collection must rest on a valid law made by a competent legislature. An executive order, a circular or a bare demand will not do, and anything collected beyond what the statute authorises can be recovered back. This article is also the reason a taxing statute is read strictly: if the charge must come from law, it must come from the words of the law.

2.2 Distribution of the power to tax

Article 245 fixes the territorial extent of laws, and Article 246 with the Seventh Schedule distributes subjects. **A power to tax must be traced to a specific taxation entry** and cannot be read into a general regulatory entry over the same subject.

1. **List I, Union.** Taxation entries are Entries 82 to 92B, with residuary Entry 97. **Entry 82, taxes on income other than agricultural income, is the basis of the Income-tax Act.**
2. **List II, State.** Taxation entries run from Entry 45 to Entry 63. **Entry 46, taxes on agricultural income, is why agricultural income lies outside central income tax.**
3. **List III, Concurrent.** Entry 44, stamp duties other than rates of stamp duty.
4. **Residuary power.** Article 248 with Entry 97 of List I, which expressly includes the power to impose a tax not mentioned in List II or List III.

The 101st Amendment, 2016 introduced the goods and services tax. It inserted Article 246A giving concurrent power over the supply of goods and services, Article 269A on inter State supply, and Article 279A creating the GST Council. It omitted Entries 92 and 92C of List I and Entries 52, covering octroi and entry tax, and 55 of List II, substituted Entries 84, 54 and 62, and omitted Article 268A.

2.3 Article 110: Money Bills

A Bill is a Money Bill only if it contains nothing except provisions on the matters listed in Article 110(1), which include the imposition, abolition, remission, alteration or regulation of any tax. The classification matters because the Rajya Sabha may then only make recommendations.

Article 110(2) provides that a Bill is not a Money Bill by reason only that it provides for fines or pecuniary penalties, or for fees for licences or fees for services rendered, or for a tax imposed by a local authority for local purposes. **The provision assumes that a fee is not a tax**, and is the constitutional counterpart of *Delhi Race Club*.

2.4 Article 27: taxes and religion

No person may be compelled to pay a tax whose proceeds are specifically appropriated for the promotion or maintenance of any particular religion or religious denomination. **The protection is against a tax and not a fee**, so a charge meeting the cost of regulating the secular administration of religious institutions falls outside it.

2.5 Fundamental rights and tax statutes

Article 14. The legislature may decide what to tax, whom to tax and at what rate, and may classify persons or property and tax the classes differently. **The limits are that the classification must be rational and must have a rational nexus with the object sought to be achieved.** A classification that is irrational or unconnected with its object is ultra vires. Courts allow greater latitude in fiscal legislation than elsewhere.

Article 19(1)(g) with Article 19(6). A tax on a trade or profession is not by itself a violation of the freedom to carry it on. Article 19(6) allows reasonable restrictions in the public interest, and since the State needs revenue, a tax normally falls within that head. The other grounds in Article 19(6), technical qualifications and State monopolies, do not concern taxation. A tax so heavy as to be confiscatory may still be struck down.

Retrospective taxation and Article 300A. A tax may be retrospective if the legislature is competent, and Article 300A requires only that property be taken by authority of law. Courts nevertheless begin from a presumption against retrospectivity where a new burden is imposed. The amendment following **Vodafone**, at paragraph 3.10, is the leading illustration of the policy objection.

2.6 Centre and State financial relations

Part XII divides not only the power to tax but also the proceeds.

1. **Article 268.** Duties levied by the Union, collected and appropriated by the States.
2. **Article 269.** Taxes on inter State trade, levied and collected by the Union, assigned to the States.
3. **Article 269A.** Integrated GST, levied and collected by the Union and apportioned between Union and States.
4. **Article 270.** The divisible pool, distributed between Union and States as the Finance Commission recommends.
5. **Article 271.** Surcharge for Union purposes, outside the divisible pool.
6. **Articles 275 and 282.** Statutory grants in aid, and discretionary grants for any public purpose.
7. **Articles 279 and 279A.** Net proceeds, and the GST Council.
8. **Articles 292 and 293.** Borrowing by the Union and by the States.

Because cesses and surcharges lie outside the divisible pool, revenue raised through them is not shared with the States. This is the standing point of friction in Indian fiscal federalism.

2.7 Finance Commission and NITI Aayog

The Finance Commission is a constitutional body under **Article 280**, constituted by the President every fifth year or earlier, consisting of a Chairman and four other members. It recommends the distribution of the net proceeds of shareable taxes between the Union and the States and among the States, the principles governing grants in aid, measures to augment the resources of Panchayats and Municipalities, and any other matter referred to it. **Its recommendations are advisory**, though accepted by convention, and under Article 281 they are laid before Parliament with a memorandum on the action taken.

Present position. The Sixteenth Finance Commission, chaired by Dr Arvind Panagariya, submitted its report for 2026 to 2031 on 17 November 2025. **It retained the States' share of the divisible pool at forty one per cent**, the same as the Fifteenth Finance Commission, for the period 1 April 2026 to 31 March 2031.

NITI Aayog was created by a Cabinet Resolution dated 1 January 2015 in place of the Planning Commission. **It is an executive body with no constitutional or statutory status.** The Prime Minister is Chairperson, with a Vice Chairperson, members, and a Governing Council of all Chief Ministers and Lieutenant Governors. It advises on policy and is a forum for cooperative federalism.

Table 2.1: Finance Commission and NITI Aayog

	Finance Commission	NITI Aayog
Source	Article 280 of the Constitution	Cabinet Resolution of 1 January 2015

	Finance Commission	NITI Aayog
Status	Constitutional body	Executive body, no constitutional or statutory status
Function	Devolution of revenue and grants in aid	Policy advice and cooperative federalism
Funds	Recommends how revenue is shared	Neither allocates nor devolves funds
Permanence	Constituted every fifth year	May be reversed by another executive decision

2.8 Interpretation of taxing statutes

1. **Strict interpretation. A liability to tax must be found in clear statutory language.**
2. **No analogy.** A charge cannot be created because a similar transaction is taxed, or because the legislature probably intended to tax it.
3. **Protection of property.** Since tax takes away property, doubtful language is not stretched against the subject.
4. **Hardship is irrelevant, both ways.** If the case is within the words of the charge, the subject is taxed however harsh the result; if outside them, he escapes however much he seems within the spirit.
5. **Machinery provisions are the exception.** Rules on computation, assessment and recovery are read so as to make the charge workable, not to defeat it.
6. **Purposive reading.** Available only exceptionally, where a literal reading would defeat the plain object of the Act.
7. **Two meanings of income.** The word carries its natural meaning and the artificial meanings the Act adds. The natural meaning is never displaced, which is why section 2(49) is inclusive and not exhaustive.

Unit III: Introduction to the Income-tax Act, 2025

3.1 Overview of the Act

The **Income-tax Act, 2025 (Act 30 of 2025)** received the President's assent on **21 August 2025** and came into force on **1 April 2026**. It replaces the Income-tax Act, 1961. It has 536 sections, 23 chapters and 16 schedules, against 819 sections and 14 schedules in the old Act.

The Act is a re-codification and not a change of policy. The charge, the five heads, the residence tests, the treatment of agricultural income and the judicial tests all continue; the numbering and drafting have changed. **The first tax year is 2026-27**, so income earned before 1 April 2026 stays under the Act of 1961 and pending proceedings continue under it. **It follows that judgments under the Acts of 1922 and 1961 remain good authority for the corresponding provisions of the new Act.**

Table 3.1: Section map for Units III, IV and V

Topic	Act of 2025	Act of 1961
Agricultural income	s. 2(5)	s. 2(1A)
Assessee	s. 2(11)	s. 2(7)
Income	s. 2(49)	s. 2(24)
Winnings from lotteries and races	s. 2(49)(n)	s. 2(24)(ix)
Person	s. 2(77)	s. 2(31)
Tax year	s. 3	ss. 2(9) and 3
Charge of income tax	s. 4	s. 4
Scope of total income	s. 5	s. 5
Residence in India	s. 6	s. 6
Income deemed to accrue in India	s. 9	s. 9
Exempt incomes	s. 11 with Schedules II to VI	s. 10
Heads of income	s. 13	s. 14
Expenditure on exempt income	s. 14	s. 14A
Salaries, charge	s. 15	s. 15
Meaning of salary	s. 16	s. 17(1)
Perquisite	s. 17	s. 17(2)
Profits in lieu of salary	s. 18	s. 17(3)
Deductions from salaries	s. 19	s. 16 and parts of s. 10
House property, charge	s. 20	s. 22
Annual value	s. 21	s. 23
Deductions from house property	s. 22	s. 24
Arrears and unrealised rent	s. 23	s. 25A
Co-owners	s. 24	s. 26
Deemed ownership	s. 25	s. 27
General anti avoidance rule	ss. 178 to 184	ss. 95 to 102

3.2 Income and receipt

Section 2(49), formerly section 2(24), says income **includes** the items in clauses (a) to (w). **The definition is inclusive and not exhaustive:** the list widens the net rather than confining it, so a

receipt not listed can still be income if it answers the natural meaning of the word. The settled features are these.

1. Income need not be recurring. A single receipt can be income.
2. Two entities are needed, since a person cannot earn income from himself. This is the basis of the doctrine of mutuality.
3. Income may be in money or in anything convertible into money.
4. Illegal income is still income.
5. A reimbursement of expenditure is normally not income, as it restores an outgoing.
6. Revenue receipts are income; capital receipts are not, unless the Act makes them chargeable.
7. Income must be real and not hypothetical.
8. Income is wider than profit or gain, and profit differs from gross receipts.

Winnings from lotteries, crossword puzzles, races including horse races, card games, gambling and betting fall under **section 2(49)(n)**, formerly section 2(24)(ix).

CIT, Madras v. G.R. Karthikeyan, (1993) 201 ITR 866 (SC)

Facts. The assessee took part in the All India Highway Motor Rally, a contest of driving reliability and endurance in which competitors had to observe prescribed rules rather than finish fastest. He won prizes of twenty two thousand rupees. Assessment year 1974-75.

Decision. The receipt was income and chargeable. The Supreme Court reversed the High Court.

Principle. Section 2(24) is inclusive and enlarges the concept of income rather than cutting down its ordinary meaning. **The clause is not limited to receipts depending on chance:** if winnings from betting and gambling are income, an amount won by skill and endurance cannot be excluded. A casual and non recurring receipt is still income, and exemption is a separate question.

CIT v. K. Thangamani, (2009) 309 ITR 15 (Madras)

Facts. The assessee obtained money by fraudulently procuring income tax refunds, and argued that money earned by crime was not taxable.

Decision. The amounts were taxable.

Principle. **The Act charges income whatever its source, lawful or unlawful.** An assessee cannot plead his own wrongdoing to escape tax, expressed in the maxim *allegans suam turpitudinem non est audiendus*.

CIT, Bombay City I v. Shoorji Vallabhdas and Co., (1962) 46 ITR 144 (SC)

Facts. A managing agency credited commission in its books at the rate originally agreed. The rate was later reduced by agreement, so the higher amount was never received and never became payable.

Decision. Only the reduced amount was taxable.

Principle, in the words of Hidayatullah J.

3.2.1 Receipt, and income deemed to be received

Receipt means the first receipt of the income by the assessee. Where and when the money first reaches him is what counts, so a later remittance of an amount already received elsewhere is not a fresh receipt. Section 5(3) puts the same idea negatively: income accruing outside India is not deemed to be received in India merely because it is entered in a balance sheet prepared here.

Deemed receipt, section 7. Three amounts are deemed to be received in the tax year although no money reaches the employee. They are the annual accretion in that year to the balance

standing to the credit of an employee in a recognised provident fund, to the extent provided in Schedule XI; the transferred balance in such a fund, to the same extent; and the contribution made by the Central Government or any other employer in that year to an employee's account under the pension scheme referred to in section 124.

Section 7(2) fixes the year for dividends. A dividend is the income of the tax year in which it is declared, distributed or paid, and an interim dividend is the income of the year in which its amount is unconditionally made available by the company to the member entitled to it.

Receipt and accrual are alternative triggers, and tax attaches at whichever happens first.

Accrual is taken up in paragraph 3.5.

"Income-tax is a levy on income. No doubt, the Income-tax Act takes into account two points of time at which the liability to tax is attracted, viz., the accrual of the income or its receipt; but the substance of the matter is the income. If income does not result at all, there cannot be a tax, even though in book-keeping, an entry is made about a 'hypothetical income' which does not materialise."

Tax is charged on real income, and a book entry cannot create income where none has accrued or been received.

3.3 Application and diversion of income

Both ideas answer one question: did the amount ever become the assessee's income?

Table 3.2: Application and diversion compared

	Application of income	Diversion by overriding title
What happens	Income first accrues to the assessee, and he then spends it to meet an obligation	Another person's superior title takes the amount away before it becomes the assessee's income
Taxable?	Yes, in the assessee's hands	No, it was never his income
Test	The obligation is to apply income after it reaches him	The obligation diverts the income at source, before it reaches him
Typical source	An obligation arising from personal or family status, creating no charge	A charge or title created over the income itself
Leading case	Sitaldas Tirathdas; Sunil J. Kinariwala	Sitaldas Tirathdas states the test both ways

What decides the question is the nature of the obligation, not the timing of payment or whether the cash passed through his hands. The court asks whether the obligation arises from contract or from status, and whether it fastened a superior title on the income at its source.

CIT, Bombay City II v. Sitaldas Tirathdas, (1961) 41 ITR 367 (SC)

Facts. The assessee's wife and children obtained a maintenance decree and he paid maintenance under it. The decree created no charge on his property or income. He claimed the payments as diverted income.

Decision. Not deductible. The payments were an application of income which had already accrued to him.

Principle, in the words of Hidayatullah J.

"In our opinion, the true test is whether the amount sought to be deducted, in truth, never reached the assessee as his income. Obligations, no doubt, there are in every case, but it is the nature of the obligation which is the decisive fact. There is a difference between an amount which a person is obliged to apply out of his income and an amount which by the nature of the obligation cannot be said to be a part of the income of the assessee."

Where by the obligation income is diverted before it reaches the assessee, it is deductible; but where the income is required to be applied to discharge an obligation after such income reaches the assessee, it is not deductible."

This is the standard statement of the distinction. Reproduce it in these exact words.

CIT v. Sunil J. Kinariwala, (2003) 259 ITR 10 (SC)

Facts. A partner assigned part of his share in the firm's profits to a trust, and claimed the assigned share was diverted.

Decision. It was an application of income and remained taxable in the partner's hands.

Principle. The Court looked at what the assignment created under the law of partnership. The trust did not become a partner and got no title to the profits of the firm; it obtained only a right to receive a share of profit from the partner. **The profit accrued first to the partner, so paying it over was application.**

3.4 Doctrine of mutuality

No one can make a profit out of dealing with himself. Where persons contribute to a common fund for a common purpose and any surplus returns only to those same persons in the same capacity, the surplus is not income, because it is a return of their own money. Mutual insurance associations and housing societies are the standard examples. Three conditions must be met.

1. **Complete identity** between the contributors to the fund and the participators in the surplus, so all who contribute may participate and all who participate have contributed. The form of the concern, whether club, society or company, is irrelevant.
2. **Obedience to the members' mandate.** The concern acts as an instrument of its members, applying the fund only for their common objects.
3. **No profiteering.** The fund cannot be dealt with commercially so as to earn a profit.

If the surplus is not distributable among the members, or contributors and participators differ, mutuality fails. A club serving non members loses mutuality to that extent, so a concern may have mutual and non mutual parts.

Styles (Surveyor of Taxes) v. New York Life Insurance Co., (1889) 14 App Cas 381 (HL)

Facts. Members associated to insure each other's lives on the mutual principle. They alone owned the common fund and alone shared the surplus.

Decision. The surplus arising from the members' own excess contributions was not an assessable profit.

Principle. There was no trading with outsiders that could produce a profit. What returned to the members was the excess of their own contributions over claims and expenses, so in the taxable sense there was no profit at all.

Bangalore Club v. CIT, (2013) 5 SCC 509

Facts. A members' club placed surplus funds in fixed deposits with banks, some of which were corporate members, and claimed mutuality on the interest.

Decision. Mutuality did not apply. The interest was taxable.

Principle. **The third condition failed once the money entered the bank's commercial stream and was used in its lending business.** The funds were then exposed to commercial exploitation and no longer applied only for the members' common benefit. That some banks were corporate members did not restore identity, because the bank dealt with the money as a bank and not as a member.

3.5 Accrual and arisal

Accrual means that a right to receive the income has come into existence, even though payment may follow later. Income **arises** when that right materialises. The two words are generally used together and the courts have not drawn a sharp line between them; both are contrasted with receipt, which is the actual coming in of the money.

The practical importance is that **accrual and receipt are separate connecting factors, and either one is enough to attract the charge**. An amount may accrue in one year and be received in another. Under section 5(4), once income has been included on the basis that it accrued, it cannot be included again on the basis that it was later received.

Accrual must also be real, not merely recorded. That is the point of **Shoorji Vallabhdas** in paragraph 3.2: a book entry cannot create an accrual where in substance no right to receive ever arose.

3.5.1 Income deemed to accrue or arise in India, section 9

Section 9 supplies a territorial connection where income has not actually accrued in India. Income is deemed to accrue or arise in India if it arises, directly or indirectly, through or from a **business connection in India, property in India, an asset or source of income in India, or the transfer of a capital asset situated in India**. Salary earned in India, dividends paid by an Indian company, and interest, royalty and fees for technical services paid by a resident or used in India are also covered. **The section matters chiefly for non-residents, who are taxable only on income connected with India.**

Vodafone International Holdings B.V. v. Union of India, (2012) 6 SCC 613

Facts. Vodafone, a Netherlands company, bought from Hutchison the share capital of CGP Investments Holdings Ltd, a Cayman Islands company, and thereby acquired indirect control of an Indian telecom company. Both buyer and seller were non-residents and the share transferred was situated outside India. The Revenue said section 9(1)(i) was a look through provision and the transaction in substance transferred Indian assets.

Decision. The gain was not taxable in India and no tax had to be withheld.

Principle. **Section 9(1)(i) contains no look through language and cannot be read as one.** The transaction had to be looked at as a whole rather than dissected; the situs of the CGP share was outside India; and the structure was a genuine investment structure, not a sham.

What followed. The Finance Act, 2012 inserted Explanation 5 to section 9(1)(i) retrospectively, deeming a share of a foreign company always to have been situated in India if it derives its value substantially from assets located in India. The retrospective effect was criticised for damaging tax certainty, and two treaty arbitrations went against the Revenue. The Taxation Laws (Amendment) Act, 2021 withdrew demands for indirect transfers made before 28 May 2012, on conditions including withdrawal of litigation.

The rule today, section 9(10). The indirect transfer rule continues prospectively, and the Act now fixes the word "substantially" with figures. A share or interest in a foreign company is deemed situated in India where, on the specified date, the value of the Indian assets **exceeds ten crore rupees and represents at least fifty per cent of the value of all the assets owned by that company**. Where the foreign company also owns assets outside India, only the part of the income reasonably attributable to the Indian assets is deemed to accrue here.

3.6 Assessment year, previous year and tax year

Under the Act of 1961 two periods had to be tracked: the **previous year**, in which income was earned, and the **assessment year**, the following year in which it was assessed and taxed. Income of the previous year 2024-25 was taxed in the assessment year 2025-26.

Section 3 of the Act of 2025 replaces both with a single expression. **Tax year means the twelve month period of the financial year commencing on 1 April.** Where a business or profession is newly set up, or a source of income newly comes into existence during a financial year, the tax year for it begins on that date and ends with that financial year.

Nothing of substance changes. Income is still computed for a twelve month period and taxed at the rates in force for it. What goes is the need to state two years for every computation, and the confusion that came with it.

3.7 Agricultural income

Agricultural income is exempt from central income tax because the power to tax it belongs to the States under Entry 46 of List II. The exemption is constitutional in origin and not a concession, which is why **section 2(5)**, formerly section 2(1A), is construed with care: whatever falls outside it is taxable by the Union. The definition covers four things.

1. **Clause (a).** Any rent or revenue derived from land situated in India and used for agricultural purposes.
2. **Clause (b).** Any income derived from such land by agriculture; or by the performance, by a cultivator or receiver of rent-in-kind, of any process ordinarily employed by such a person to render the produce fit to be taken to market; or by the sale, by a cultivator or receiver of rent-in-kind, of the produce, where no process other than such a process has been performed.
3. **Clause (c).** Income from a building owned and occupied by the receiver of the rent or revenue, or occupied by the cultivator or receiver of rent-in-kind, where the building is on or in the immediate vicinity of the land, the land is assessed to land revenue or a local rate or lies outside the specified urban limits, and the building is required as a dwelling house, store house or out building by reason of his connection with the land.
4. **Clause (d).** Income from saplings or seedlings grown in a nursery.

The definition excludes income from the use of such building or land for any non agricultural purpose, including letting for residence or business, and income from the transfer of urban agricultural land. **Three requirements run through it: the land must be in India, it must be used for agricultural purposes, and the income must be derived from that land.**

3.7.1 Rent or revenue derived from land

Rent is a payment, in money or in kind, for the grant of a right to use land. **Revenue** is used broadly to mean return, yield or income, not land revenue. **Derived from** means arising or accruing from, and **the test is whether land is the immediate and effective source of the income, and not a secondary or indirect source.** Substance prevails over form. The test works out as follows.

1. A life annuity payable to a person who has transferred agricultural land is not agricultural income even if charged on the land, because the source is the covenant and the charge is only security.
2. Malikana, an allowance paid under a statutory obligation to a proprietor dispossessed of his land, is not agricultural income, because the effective source is the statutory obligation.
3. Compensation for requisition of land which continues in agricultural use is revenue derived from land.
4. Salami or premium for the grant of a tenancy is normally capital, so exemption does not arise.

5. Under a mustajiri lease, which creates an interest in land and under which the proprietor gives up the right to collect rents for a fixed annual payment, that payment is rent reserved by the proprietor and is agricultural income if the other conditions are met.
6. Interest on arrears of rent of agricultural land is not agricultural income, being a payment for the use of money withheld: **CIT v. Raja Bahadur Kamakshya Narain Singh**, (1948) 16 ITR 325 (PC).

3.7.2 The meaning of agriculture

The land must actually be used for agricultural purposes in the relevant year; neither the purpose stated in a lease nor its earlier use decides the question. In **Mustafa Ali Khan v. CIT**, (1948) 16 ITR 330 (PC), the Privy Council held that the meaning of agriculture in other statutes is irrelevant to tax law, and that **some measure of cultivation involving human skill and labour upon the land is essential to constitute agriculture.**

CIT, West Bengal v. Raja Benoy Kumar Sahas Roy, (1957) 32 ITR 466 (SC)

Facts. The assessee owned a large forest of sal and piyasal trees of spontaneous growth, about a century and a half old. He carried out forestry operations such as pruning, weeding, clearing and protection against fire and trespass, and sold timber. Denuded parts of the forest had been replanted.

Decision. Income from the trees of spontaneous growth was not agricultural income; income from the replanted portions was.

Principle, the two tier test. Agriculture involves two classes of operations, and the relationship between them decides the case.

1. **Basic operations** are performed on the land itself before the produce sprouts: tilling, sowing or disseminating seeds, and planting. They require human skill and labour expended upon the land.
2. **Subsequent operations** are performed after the produce sprouts, to foster and preserve growth: weeding, digging soil around the growth, removing undergrowth, tending, pruning, cutting, felling and protecting the plants.
3. **Subsequent operations alone are not agriculture. They qualify only when combined with basic operations as one integrated activity.** An activity involving no basic operation on the land does not become agriculture merely because it has a relation to or connection with the land.

Consequences. Income from produce of spontaneous growth, such as forest trees, wild grass and reeds, is not agricultural income, nor is income from conserving or improving such growth. Conversely agriculture is not confined to food crops but extends to all products of the land where the basic operations test is met. **This is the foundational case for the whole topic.**

3.7.3 The process to render produce fit to be taken to market

The second limb of clause (b) extends the exemption to processing, within three limits.

1. The process must be performed by the cultivator or receiver of rent-in-kind.
2. It must be a process ordinarily employed by such persons for that produce.
3. It must be needed to make the produce marketable, and **the produce must not lose its original character, except where there is no market for it in its raw state.**

Sakarlal Naranlal v. CIT, Gujarat, AIR 1965 Guj 165; (1965) 56 ITR 503 (Gujarat)

Facts. The assessee grew galka, a gourd, from imported seed on his agricultural land, and processed it into loofahs, the fibrous pads used in shoe manufacture, by tapping, deskinning, acid baths, drying and pressing. Sales abroad failed and the goods returned to India, causing heavy

losses. Unusually, the assessee claimed the losses were non agricultural business losses so they could be set off, while the Revenue said they were agricultural.

Decision and principle. If there is no market for the produce as grown and it can be sold only after some process, the cultivator must perform that process in order to sell at all, since otherwise the produce would be unmarketable and raising it would be futile. **In such a case, although agricultural operations cease when the produce is removed from the soil, the process is regarded as a continuation of the agricultural operations.**

A further point on the market. If produce grown in one region has no ready market there in its original stage, the existence of a market elsewhere does not make the process non agricultural. What matters is the area where the produce is grown and the customary process employed there, and the existence of a market is a question of fact in each case.

Limit. Where the produce is already marketable, a process undertaken only to fetch a better price does not qualify.

K. Lakshmanan and Co. v. CIT, (1999) 239 ITR 597 (SC)

Facts. The assessee grew mulberry leaves on its land, fed them to silkworms, and sold the silk cocoons.

Decision. The income from cocoons was not agricultural income.

Principle. Although a process may be needed to make produce marketable, **the section does not contemplate the sale of a commodity different from what is cultivated and processed.** The produce of the land was mulberry leaves; cocoons are a different commodity, and rearing silkworms is not agriculture.

CIT, Poona v. H.G. Date, (1971) 82 ITR 71 (Bombay)

Facts. The assessee grew sugarcane on about ninety three acres at Phaltan and, using three heavy horsepower engines, crushed it into jaggery for sale. Assessment years 1952-53 and 1954-55.

Decision. The income was agricultural and exempt.

Principle. Following the earlier Bombay decision in Brihan Maharashtra Sugar Syndicate, the process must be one ordinarily employed by a cultivator, and the produce must retain its original character, but the second condition is displaced where there is no market for the raw produce. The Tribunal had found the cane was not fit for chewing, could be used only for sugar or jaggery, and had to be crushed quickly to retain its sugar. There being no market for the cane as grown, conversion into jaggery fell within the limb.

How to use it. **{{K. Lakshmanan}}** gives the rule that the commodity sold must not differ from what was cultivated; **{{H.G. Date}}** and **{{Sakarlal Naranlal}}** give the exception where no market exists for the raw produce.

B. Nagi Reddi v. CIT, (2002) 258 ITR 719 (Madras)

Facts. The assessee received shooting hire charges for allowing film producers to shoot in his garden.

Decision. The receipts were not agricultural income.

Principle. Applying **Benoy Kumar Sahas Roy**, an activity involving no basic operation on the land does not become agriculture merely because it has a connection with the land. Film shooting has no nexus with agricultural operations, except that it is done on land which may be agricultural.

DCIT v. Inventaa Industries Pvt Ltd, (2018), ITAT Hyderabad, Special Bench

Facts. White button mushrooms were grown under controlled conditions in trays of specially prepared compost, not in open soil.

Decision. The income was agricultural income.

Principle. What the definition needs is basic operations involving human skill and labour performed upon soil to produce a product of agriculture. **The statute does not require the produce to be grown on the surface of the land**, and prepared compost was treated as soil.

But read the next case. This is a decision of a tribunal, and the Madras High Court has since taken the opposite view and declined to follow it.

PCIT-1 v. British Agro Products (India) Pvt Ltd), [2025] 175 taxmann.com 618 (Madras High Court, 9 May 202

Facts. The assessee cultivated and sold white button mushrooms grown in trays in a factory under controlled temperature. Following *Inventaa* it revised its return for assessment year 2017-18 and, for 2018-19, declared Rs 11,44,54,027 as agricultural income. The Assessing Officer taxed it as business income; the Commissioner (Appeals) and the Tribunal at Chennai allowed the claim following *Inventaa*; the Revenue appealed.

Questions. Whether income from cultivating and selling white button mushroom is agricultural income, especially as a mushroom is a fungus and neither a plant nor a fruit nor a vegetable; and whether growing it in trays under artificial climate control falls outside the definition.

Decision. Both questions were answered in favour of the Revenue. **The income is not agricultural income.**

Reasoning. The Court took the three limbs of the definition in turn and found none satisfied. The assessee had derived no income from land; it derived income from the sale of mushrooms grown in its factory. The mushrooms were not raised in land used for agricultural purposes but were cultured in a factory under controlled conditions. The Court expressly declined to follow *Inventaa*, holding that the Special Bench had not examined the issue from the point of view of the statutory definition at all. It indicated the answer might have been different had the mushrooms been grown by a farmer and merely processed by the assessee.

Current status, and how to use it. The assessee's special leave petition has been admitted, notice was issued on 4 September 2025 and recovery stayed in the meantime, while *Inventaa* is itself under appeal before the Telangana High Court. **The point is therefore open: a High Court says mushrooms are not agricultural income, a Special Bench says they are, and the Supreme Court is now seised of it.** In an answer, set out both, note that the High Court decision carries greater weight than a tribunal, and say which reasoning you prefer.

Jayanti Botanical Gardens v. ITO, Ward 4(3)(3), ITA No. 36/Bang/2020 (ITAT Bangalore, 4 March 2021)

Facts. The assessee ran a nursery and claimed Rs 20,11,009 as exempt agricultural income. The Assessing Officer allowed Rs 10,05,509 and taxed the balance as business income on the footing that the contract was composite. On examining the purchase orders and invoices, the Commissioner (Appeals) found that the contract covered not only the supply of plants but also softscape and landscaping work.

Decision. Only the part attributable to saplings and seedlings grown in the assessee's own nursery was agricultural income. The landscaping element was business income.

Principle. **The nursery deeming rule covers income from the sale of saplings or seedlings grown in a nursery, and nothing beyond that.** Where one contract covers both the supply of

plants and work done on the client's land, the receipt must be split. The Tribunal applied **Benoy Kumar Sahas Roy** for the meaning of agriculture.

Under the Act of 2025. The nursery rule is clause (d) of section 2(5).

Bacha F. Guzdar v. CIT, Bombay, (1955) 27 ITR 1 (SC)

Facts. The assessee held shares in tea companies. Where tea is grown and manufactured by the seller, the Rules treat sixty per cent of the income as agricultural and forty per cent as business income. She claimed that sixty per cent of her dividend was correspondingly exempt.

Decision. The whole dividend was taxable.

Principle. **Agricultural income must have a direct and proximate connection with the land.**

A company and its shareholders are distinct legal persons, and a dividend flows from the shareholding and the company's decision to distribute profits, not from the land. The character of the income in the company's hands does not pass to the shareholder.

Premier Construction Co. Ltd v. CIT, Bombay City, (1948) 16 ITR 380 (PC)

Facts. The assessee was managing agent of a company, entitled to commission of ten per cent of the annual net profits subject to a minimum of ten thousand rupees a year. In assessment year 1942-43 it received the ten per cent, which exceeded the minimum. Part of the company's income came from sugar manufactured from cane grown on its own farms, which was exempt agricultural income in the company's hands. The agent claimed a proportionate part of its commission was likewise agricultural income.

Decision. It was not. The whole remuneration was taxable.

Principle. The agreement gave the assessee a minimum annual salary payable whether or not the company made a profit, and where ten per cent exceeded that minimum it got a percentage of the profits without regard to their sources. The remuneration depended neither on the nature of the company's properties nor on the character of its income. **Income which is not itself agricultural income does not become agricultural income by reason of the source from which it is derived or the method by which it is calculated.**

CIT v. B. Gupta (Tea) Pvt Ltd, (1969) 74 ITR 337 (Calcutta High Court, 5 February 1969)

Facts. The assessee grew and manufactured tea. In May 1959 a hail storm destroyed 773 maunds of green leaf on its Bundookmara Tea Estate in Cachar, Assam. Under the hail clause of its insurance policy the insurer paid fifty per cent of the assessed loss, Rs 15,465. The Income-tax Officer treated the receipt as incidental to the tea manufacturing business and brought forty per cent of it to tax by applying the tea apportionment rule.

Decision. The sum was agricultural income and exempt. The question was answered against the Revenue.

Reasoning. The tea apportionment rule applies only where income is derived from the sale of tea grown and manufactured by the seller, and had no application to a receipt of this nature. On the terms of the policy the money was paid for damage to the growing crop, and that relates to the agricultural operations carried on by the assessee. Applying the principle that insurance money representing loss of profits is itself income, **any sum which represents the profits of agricultural operations must be treated as income from agricultural operations.**

Pair it with {{Premier Construction}}. There the commission was merely computed by reference to agricultural profits and its source was the agency contract, so it was not agricultural income. Here the money stood in the place of the agricultural profit itself, so it was. **The question is always whether the receipt replaces agricultural profit or merely takes its measure from it.**

CIT v. Maddi Venkatasubbayya, (1951) 20 ITR 151 (Madras)

Facts. The assessee bought standing tobacco crops and tobacco from growers, processed and redried it, and sold it.

Decision. The profit was business income, not agricultural income.

Principle. The market process limb is open only to a cultivator or receiver of rent-in-kind, and only for produce raised or received by him. A trader who buys another's produce and processes it carries on business.

Table 3.4: Agricultural income, the cases at a glance

Case	Income in question	Agricultural income? Why
Kamakshya Narain Singh (PC)	Interest on arrears of rent of agricultural land	No. A payment for the use of money, not revenue derived from land
Mustafa Ali Khan (PC)	Sale of forest trees of spontaneous growth	No. No cultivation by human skill and labour
Benoy Kumar Sahas Roy (SC)	Timber from a spontaneous forest, and from replanted areas	No for the first, yes for the second. Basic operations absent, then present
Premier Construction (PC)	Managing agent's commission on partly agricultural profits	No. The source is the agency contract, not the land
Bacha F. Guzdar (SC)	Dividend from a tea company	No. Company and shareholder are distinct; no direct link to land
Maddi Venkatasubbayya (Mad)	Profit on tobacco bought from growers and redried	No. Not his own produce; he is a trader
Sakarlal Naranlal (Guj)	Loofahs made from his own galka	Yes. No market for galka as grown, so the process continues agriculture
H.G. Date (Bom)	Jaggery from his own sugarcane	Yes. No market for the cane as grown
K. Lakshmanan (SC)	Silk cocoons from his own mulberry leaves	No. The commodity sold differs from what was cultivated
B. Nagi Reddi (Mad)	Shooting hire charges for a garden	No. No basic operation on the land
Inventaa Industries (ITAT SB)	Mushrooms grown in trays of compost	Yes. Basic operations on soil; need not be on the surface of the land
British Agro Products (Mad, 2025)	Mushrooms grown in a factory under controlled conditions	No. Not raised in land used for agriculture. The High Court declined to follow <i>Inventaa</i> ; appeal pending in the Supreme Court
B. Gupta (Tea) (Cal)	Insurance money for hail damage to green leaf	Yes. The sum stood in the place of the profits of agricultural operations
Jayanti Botanical Gardens (ITAT)	Composite receipt for supplying nursery plants and landscaping	Part only. Saplings and seedlings grown in the nursery qualify; landscaping is business income

3.7.4 Partial integration of agricultural income

Agricultural income is exempt, but it is not ignored when fixing the rate. Where non agricultural income exceeds the basic exemption limit and net agricultural income exceeds five thousand rupees, the two are aggregated **only to determine the rate**. Tax is computed on the aggregate and then reduced by the tax on the agricultural income plus the exemption limit.

Example. A person with salary of twenty five lakh and agricultural income of seven lakh is not taxed on the seven lakh, but the rate on his salary is worked out as though his income were thirty two lakh. **The Union therefore taxes only non agricultural income and uses agricultural income merely as a measure of capacity to pay**, which is why the mechanism is constitutionally sound.

3.8 Basis of charge, residence, person and assessee

This paragraph brings together the four questions the Act must answer before any tax can be computed: who is chargeable, on what the charge falls, how much of his income is caught, and how his residence decides that.

3.8.1 Person and assessee

Person, section 2(77), includes an individual, a Hindu undivided family, a company, a firm, an association of persons or body of individuals whether incorporated or not, a local authority, and every artificial juridical person not falling in the earlier categories. **It does not matter whether the entity was formed with the object of deriving income.** Classification matters because rates and computation rules differ.

Assessee, section 2(11), means a person by whom any tax or other sum is payable under the Act. It also includes a person against whom proceedings have been taken for assessment of his own income, loss or refund, or of another person's income for which he is assessable; a person deemed to be an assessee; and a person deemed to be an assessee in default. **A person can be an assessee even if no tax is finally payable.**

M.M. Ipoh v. CIT, Madras, AIR 1968 SC 317; 1968 SCR (1) 65 (Supreme Court, 26 July 1967)

Facts. The question was whether a group of persons, whose affairs were managed by one of them acting on behalf of another, could be assessed as an **association of persons** for the assessment years 1952-53 to 1956-57, and whether the assessment had been validly commenced by notice served on that manager as the principal officer.

Decision. They were assessable as an association of persons, and the proceedings were validly commenced.

Principle. **An association of persons means persons who join in a common purpose or common action with the object of producing income.** There must be volition, a unity of purpose, and a profit making objective. Persons who merely receive income jointly, without combining in any joint enterprise to produce it, are not an association of persons. On procedure, an order assessing the association which records a finding that the person served is the principal officer is sufficient compliance with the statute, and that finding may be challenged in appeal.

Relevance. This is the authority in your list on the meaning of **person** in section 2(77), and specifically on when a group falls within the association of persons category.

3.8.2 Basis of charge, section 4

Income tax is charged for every tax year, in accordance with and subject to the provisions of the Act, on the total income of every person, at the rates fixed for that year by the annual Finance Act. Section 4(3) adds that income tax includes any additional income tax by whatever name called, and section 4(5) that the tax is to be deducted or collected at source or paid in advance as the Act provides. Five points follow.

1. **The charge depends on income, not on assessment.** Liability arises as soon as income accrues or is received; assessment only quantifies it.
2. Income tax is an annual tax on the income of a whole tax year, not a monthly or quarterly levy.
3. The charge is on the total income of a person, so the person must first be identified and classified.
4. Section 4 is the principal charging section but not the only one, as some provisions impose the charge independently.

5. Tax deducted at source and advance tax are not separate charges but modes of earlier recovery of the same liability.

3.8.3 Scope of total income

Section 5 fixes what enters total income, and the answer turns on residential status. The table shows the whole scheme at a glance.

Table 3.3: What is taxed, by residential status

Type of income	Resident and ordinarily resident	Not ordinarily resident	Non-resident
Received or deemed to be received in India	Taxable	Taxable	Taxable
Accrues or is deemed to accrue in India	Taxable	Taxable	Taxable
Accrues outside India, from a business controlled in or profession set up in India	Taxable	Taxable	Not taxable
Any other income accruing outside India	Taxable	Not taxable	Not taxable

Receipt and accrual are separate connecting factors and either is enough. Income accruing outside India is not deemed received in India merely because it appears in a balance sheet prepared in India. **In short: a resident and ordinarily resident person is taxed on global income, while the other two are taxed only on income connected with India.**

Individuals, section 6(2). An individual is resident if he is **in India for 182 days or more in the tax year, or for 60 days or more in the tax year together with 365 days or more in the four preceding tax years.** Either limb is enough, and the test is physical presence, so purpose, domicile and citizenship are irrelevant. The second limb is then relaxed in four situations.

1. **Section 6(3).** The sixty day limb does not apply to a citizen of India who leaves India as a member of the crew of an Indian ship or for the purpose of employment outside India, so he becomes resident only on 182 days. **For the purpose of employment** is not confined to the unemployed; a person already in a job who leaves to take up work abroad is covered.
2. **Sections 6(4) and 6(5).** The sixty day limb also does not apply to a citizen of India or person of Indian origin who, being outside India, comes on a visit. If his total income other than foreign source income exceeds fifteen lakh rupees, 120 days is substituted for 60 days, the 365 day requirement remaining. Otherwise only the 182 day test applies.
3. **Section 6(6).** A special method of counting days for a citizen who is a member of the crew of a foreign bound ship.
4. **Section 6(7), deemed resident.** An Indian citizen whose total income other than foreign source income exceeds fifteen lakh rupees is deemed resident if he is not liable to tax in any other country by reason of domicile, residence or a similar criterion. **The object is to prevent a person from being resident nowhere.** Section 6(8) keeps this from applying to persons already covered by the earlier rules.

Other persons. For entities the tests take a different form.

1. **Section 6(9), HUF, firm or association.** Resident unless **the control and management of its affairs is situated wholly outside India** during the tax year. Any measure of control in India makes it resident, and the assessee must prove the exception.
2. **Section 6(10), company.** Resident if it is an Indian company, or if its **place of effective management** is in India, that being where key management and commercial decisions for the business as a whole are in substance made.
3. **Section 6(13), not ordinarily resident.** An individual, or an HUF whose manager, who has been a non-resident in nine of the ten preceding tax years, or in India for 729 days or less in the seven preceding tax years; a citizen or person of Indian origin with Indian income above

fifteen lakh rupees who stays 120 days or more but less than 182 days; and a deemed resident under section 6(7).

4. **Section 6(11), every other person.** Any person not covered by the earlier sub-sections is resident in India unless, during that tax year, the control and management of his affairs is situated wholly outside India. This is the residual rule, framed in the same terms as section 6(9).
5. **Sections 6(12) and 6(14).** A person resident for one source is resident for all sources. Income from foreign sources means income accruing outside India, other than from a business controlled in or profession set up in India, and not deemed to accrue in India.

Order of reading: section 5, then section 6(2), then section 6(13). Ask first whether the individual is resident under either limb of section 6(2). Only if he is does the question of ordinary residence arise. If he is not resident at all, that question never arises. Then return to section 5.

V.V.R.N.M. Subbayya Chettiar v. CIT, Madras, (1951) 19 ITR 168 (SC)

Facts. A Hindu undivided family was domiciled in Ceylon and its Karta lived permanently in Colombo. The Karta came to British India and stayed about 101 days, performing certain acts concerning the family's affairs. The family claimed control and management was wholly outside the taxable territories.

Decision. The family was resident. The burden of proving the exception under section 4A(b) of the Act of 1922 was not discharged.

Principle, in the words of the Court.

"There can be no doubt that the onus of proving facts which would bring his case within the exception, which is provided by the latter part of section 4A(b), was on the assessee."

The correspondence which might have shown that the Indian affairs too were controlled from Colombo was never produced. Acts done by the Karta in British India, though not conclusive by themselves, were relevant and could not be ignored, so the normal presumption of residence prevailed. The Court read **control and management** as the controlling and directing power, the head and brain; **situated** as implying some permanence; and **wholly** as recognising that there may be more than one centre of control. **This is the authority on section 6(9) and on the burden of proof.**

Narottam and Parekh Ltd v. CIT, Bombay City, AIR 1954 Bom 67; (1954) 25 ITR 40

Facts. The residence of a company under section 4A(c) of the Act of 1922, which required control and management to be situated wholly in the taxable territories.

Principle. Control and management is a compendious expression meaning central control, and not the day to day doing of business by servants or agents. The business may be wholly done outside India while its control and management is wholly within India. **It is irrelevant where the business is done and the income earned; what matters is from where the business is controlled and managed.** The real test is where the controlling and directing power functions, because there is always a seat of power, the head and brain. It is not the servants who constitute that seat of power but the authority to which they are subject, and a company may have residence in more than one place.

Relevance. This reasoning underlies the place of effective management test in section 6(10).

A special case, section 10. Where a husband and wife are governed by the community of property system under the Portuguese Civil Code, in force in Goa and in Dadra and Nagar Haveli and Daman and Diu, they are not assessed together as an association of persons. Income under every head other than Salaries is divided equally between them and included separately in each

spouse's total income, while salary is included in the total income of the spouse who actually earned it.

3.9 Exemptions and deductions

If a receipt is income and is not exempt, it is taxable.

Table 3.5: Exemption and deduction compared

	Exemption	Deduction
Effect	The income never enters total income	The income enters total income and is then reduced
Provision	Section 11 with Schedules II to VI	Chapter on deductions, and section 19 for salary
Consequence	Related expenditure is disallowed and losses cannot be set off, under section 14	Ordinary rules of set off apply to the income
Example	Agricultural income; house rent allowance within limits	Standard deduction from salary; thirty per cent for house property

The scheme of the Schedules must be stated correctly. Section 11(1) provides that income enumerated in **Schedules II, III, IV, V and VI** is not included in total income, subject to the conditions specified there. Section 11(3) is different in kind: it lists **Schedule VII, which enumerates exempt persons**, not exempt incomes, and such persons are not chargeable on their total income. Section 12 with **Schedule VIII** covers political parties and electoral trusts. Under sections 11(2) and 11(4), if the conditions are not satisfied in a tax year, the income or the person becomes chargeable for that year.

Exemptions are of two kinds. Some depend on the **nature of the income** and are open to any assessee, agricultural income being the clearest example. Others depend on the **character or status of the assessee**. An exemption may be total or partial. **Exemption cuts both ways, because section 14 disallows expenditure relating to exempt income and bars set off of an exempt source's losses.**

The Schedules include sums received by a member of a Hindu undivided family out of family income; a partner's share in the firm's income; daily allowances of Members of Parliament and State Legislatures; house rent allowance; leave travel concession; and prescribed special allowances.

House rent allowance, Schedule III Entry 11, shows how conditions work. Four must be met: the allowance must be granted to meet expenditure actually incurred on payment of rent for residential accommodation occupied by the assessee; it is exempt only to the extent prescribed, having regard to the area or place where the accommodation is situated; **the accommodation must not be owned by the assessee**; and he must actually have incurred the expenditure on rent. An employee who draws the allowance but pays no rent, or who lives in his own house, gets nothing. **Many exemptions are restricted under the default regime, so state which regime your answer assumes.**

Unit IV: Income under the Head of Salary

4.1 Heads of income, total income and deemed income

Section 13 classifies all income, for the charge of tax and the computation of total income, under five heads: **Salaries; Income from house property; Profits and gains of business or profession; Capital gains; and Income from other sources.**

The heads are mutually exclusive. Each has its own charging provision, computation rules and deductions. Income falling specifically under one head is computed under that head alone, and a deduction available under one head cannot be claimed under another. **What decides the head is the legal character of the source, not the name the parties give the receipt.**

Total income is the aggregate of income under the five heads, after set off of losses and permitted deductions. **Deemed income** means amounts the Act treats as income although they may not be income in the ordinary sense; in this syllabus, the notional annual value of house property and the income of a deemed owner.

4.2 Chargeability of salary

Section 15 charges three things: salary due from an employer in the tax year, whether paid or not; salary paid or allowed in the tax year though not due or before it became due; and arrears of salary paid or allowed in the tax year, if not charged in an earlier year.

Three further rules complete the section. **Employer includes a former employer.** Advance salary already taxed is not taxed again when it becomes due. And salary, bonus, commission or remuneration due to or received by a partner from his firm is not salary but business income.

Salary is taxed on the earlier of becoming due or being received. That is why the date on which salary becomes due, fixed by the contract or the service rules, decides computation problems, and why a change of employer during the year has to be worked out month by month.

CIT v. L.W. Russel, AIR 1965 SC 49; (1964) 53 ITR 91

Facts. Russel was an employee of the English and Scottish Joint Co-operative Wholesale Society Ltd, Kozhikode, a company incorporated in England. The Society had established a superannuation scheme, by trust deed and rules of 1934, for its male European staff in India, Ceylon and Africa, working through deferred annuities. The Society contributed a share of the premium. Under the scheme the employee or his dependants would receive the benefit only on his reaching the age of superannuation or on earlier death, so until then he had no present right to the money. The Income-tax Officer taxed the employer's contribution as a perquisite under section 7(1) of the Act of 1922, and the Kerala High Court held it was not a perquisite.

Decision. The Supreme Court dismissed the Revenue's appeal. The employer's contribution was not taxable at the time it was made.

Principle. No interest in the sum contributed vested in the employee. His was **only a contingent interest, depending on his reaching the age of superannuation**, so the contribution was neither a perquisite allowed to him by the employer nor an amount due to him from the employer. **A benefit is chargeable only when a vested right in it arises.**

Caution for an answer. The wording of section 17 of the later Acts differs from section 7(1) of the Act of 1922, and it now expressly charges certain employer contributions beyond prescribed limits. Later decisions have accordingly questioned how far the vesting test of this case can be applied today.

4.3 The employer and employee relationship

Salary presupposes a relationship of employer and employee, that is of master and servant.

A payment by a person other than the employer is not salary. Whether the relationship exists is a question of fact decided on the whole evidence, and the factors are the degree of control and supervision, the nature of the work, and the discretion the person has in doing it. No single factor is decisive.

Table 4.1: Contract of service and contract for service

	Contract of service	Contract for service
Relationship	Employer and employee, master and servant	Independent contractor or professional
Control	The employer controls how the work is done	The person is free to do the work in his own way
Answerable for	The manner of work as well as the result	The result only
Head of income	Salaries	Profits and gains of business or profession
Illustration	Ram Pershad , where the company could control the managing director	An advocate or consultant engaged for a task

It follows that the salary and allowances of Members of Parliament and State Legislatures are not salary under this head, the office being elective and sui generis.

Ram Pershad v. CIT, New Delhi, (1972) 86 ITR 122 (SC)

Facts. A managing director was paid fixed remuneration together with ten per cent of gross profits, and the question was whether this was salary or the income of a person carrying on his own vocation.

Decision. It was salary.

Principle. A managing director may act in a dual capacity, as director and as employee, and whether he is an employee depends on the articles of association and the terms of his agreement.

The test is the extent to which the company retains the power to control and supervise the manner in which he works. The designation used is not decisive.

Jayaram Rangan v. ACIT, Non-Corporate Circle-1(1), ITA No. 1770/Chny/2019 (ITAT Chennai, 16 March 2022)

Facts. For assessment year 2013-14 the assessee returned gross professional receipts of Rs 1,54,34,001, being consultancy income from an engineering company and sitting fees from another, and claimed expenditure and depreciation against it. Reading the service agreement, the Assessing Officer found that he was designated Managing Director and looked after day to day operations, and so assessed the receipts as salary and disallowed the expenses.

Decision. The receipts were professional income and not salary.

Reasoning. He raised professional bills with service tax every month, the company deducted tax at source under section 194J and not under section 192, and he maintained regular books audited under section 44AB. There is no bar in law on appointing a professional as managing director and entrusting him with the day to day affairs of the company, and **merely because he was designated Managing Director it could not be said that the fee arose from an employer and employee relationship.**

Read with {{Ram Pershad}}. The two show the same test working in opposite directions. In **Ram Pershad** the company retained control over the manner of work, so the managing director's

remuneration was salary. Here the conduct of the parties pointed to an independent professional engagement, so it was not. **The label Managing Director settles nothing; the substance of the arrangement settles everything.**

CIT v. Shiv Charan Mathur, (2008) 306 ITR 126 (Rajasthan)

Facts. Whether the salary and allowances of a Member of a Legislative Assembly, who was also a Minister, are chargeable under the head Salaries.

Decision. They are not. They are chargeable as income from other sources.

Principle. **A legislator holds an elective constitutional office, so there is no employer and no master and servant relationship.** Since the salary head depends on that relationship, neither section 15 nor the perquisite provisions apply, and the deductions and valuation rules of that head are unavailable.

4.4 Meaning of salary

Section 16 defines salary inclusively. It includes wages; any annuity or pension; any gratuity; any fees or commission; perquisites; profits in lieu of or in addition to salary or wages; any advance of salary; any payment for leave not availed of; the annual accretion to an employee's balance in a recognised provident fund, to the extent chargeable; the transferred balance in such a fund, to the extent chargeable; the contribution by the Central Government or any other employer to an employee's account under a notified pension scheme referred to in section 124; and the Central Government's contribution to the Agniveer Corpus Fund under the Agnipath Scheme referred to in section 125. **Because the definition is inclusive, a receipt flowing from the employment is normally salary whatever it is called.**

4.5 Perquisites

A **perquisite** is a benefit or amenity received by reason of employment, over and above salary in cash. **Section 17** provides that perquisite includes the following.

1. **Clause (a).** The value of rent free accommodation provided by the employer, computed as prescribed.
2. **Clause (b).** The value of accommodation provided at a concessional rate, to the extent it exceeds the rent recoverable from or payable by the assessee.
3. **Clause (c).** The value of any benefit or amenity granted free or at a concessional rate to a director or an employee having a substantial interest in the company, or to any other employee whose income under the head Salaries by way of monetary payment exceeds such amount as may be prescribed.
4. **Clause (d).** The value of specified securities or sweat equity shares allotted or transferred free or at a concession by the current or former employer.
5. **Clause (e).** The value of any other benefit or amenity, as may be prescribed.
6. **Clause (f).** Any sum paid by the employer in respect of an obligation which, but for such payment, would have been payable by the assessee. This is the clause that makes an employer paying the employee's tax a perquisite.
7. **Clause (g).** Any sum payable by the employer to effect an assurance on the life of the assessee or a contract for an annuity, other than through a recognised provident fund, an approved superannuation fund, or a deposit linked insurance fund.
8. **Clause (h).** **The aggregate of employer contributions in excess of Rs 7,50,000 in a tax year,** taken together across a recognised provident fund, the pension scheme under section 124, and an approved superannuation fund. The cap is combined, not fund by fund.

9. **Clause (i).** The annual accretion by way of interest, dividend or any similar amount on the balance, to the extent it relates to the excess contribution taxed under clause (h).

Valuation follows prescribed rules and not anyone's estimate of worth. Section 17(2) then excludes a list of items: medical treatment in a hospital maintained by the employer; treatment in a Government or approved hospital, or for prescribed diseases in an approved hospital; employer paid health insurance premiums; expenditure on a vehicle for the journey between residence and office; and medical treatment abroad with travel and stay, the last being limited to what the Reserve Bank of India permits and, for travel, to employees whose gross total income does not exceed the prescribed amount. Three decisions show how the rules are applied.

CIT (TDS) v. Director, Delhi Public School, (2011), Punjab and Haryana High Court

Facts. A school provided free or concessional education to the children of its employees. The value is measured, under the valuation rules, by the cost of comparable education in a similar institution in or near the locality. The rule exempts the benefit where the cost per child does not exceed one thousand rupees a month, and the question was how that limit works.

Decision and principle. **The limit of one thousand rupees a month per child is a threshold and not a standard deduction.** If the cost per child does not exceed it, there is no perquisite at all. If the cost exceeds it, the whole value is chargeable, and the employee cannot deduct one thousand rupees a month from the value. The employer's duty to deduct tax at source follows that computation.

Point to remember. A threshold operates on an all or nothing basis, whereas a deduction reduces the taxable amount. Confusing the two is the standard error in this topic.

CIT-26 v. Shankar Krishnan, (2012) 349 ITR 316 (Bombay)

Facts. The employer took a flat at Cuffe Parade, Mumbai on rent for its employee and paid rent of ten thousand rupees a month, and had also given the landlord an interest free refundable security deposit of thirty lakh rupees. The employee valued the perquisite at the rent actually paid. The Revenue sought to add the notional interest on the security deposit to that value. Assessment year 2001-02.

Decision. The notional interest was not includible.

Principle. **The perquisite must be valued exactly as the rules prescribe, and the rules make no provision for adding notional interest on a security deposit.** What the employer might have earned on the deposit is not part of the value of the accommodation given to the employee.

ITC Ltd v. CIT (TDS), (2016) 384 ITR 14 (SC)

Facts. Hotels collected tips from customers, including amounts on credit card bills, and paid them to employees without deducting tax at source. The Revenue treated the hotels as assessee in default under section 192.

Decision. Tips are not salary, section 192 did not apply, and the employers were not in default.

Principle. Section 192 obliges an employer to deduct tax from income paid by it under the head Salaries. **Tips are voluntary payments by customers, received by the employer in a fiduciary capacity and merely passed on.** They find no place in the contract of employment and the employee has no vested right to them, so they are not salary, though they remain taxable as income from other sources.

Contrast to remember. The general rule is that whatever is received by virtue of employment is salary. This case adds the qualification that the payment must flow from the employer and from the contract of employment.

4.6 Profits in lieu of salary

Section 18 covers compensation for the termination or modification of employment, payments from a provident or other fund to the extent not exempt, keyman insurance sums, and amounts received before joining or after ceasing employment. **The object is to stop an employment related payment escaping tax merely because it is called compensation or ex gratia.**

4.8 Permissible deductions and exemptions from salary

The head is deliberately narrow: **only the deductions the Act allows may be claimed**, and expenditure incurred to earn salary is not otherwise deductible. **Section 19 is drafted as a Table of fourteen entries.** Two are general and the rest are reliefs on retirement or termination.

Note carefully: the Act of 2025 contains **no deduction for entertainment allowance.** The relief that existed in section 16(ii) of the Act of 1961 for Government employees has not been carried forward, and it does not appear anywhere in the Table.

1. **Tax on employment.** The sum paid as a tax on employment under Article 276(2) of the Constitution. The entire amount is deductible.
2. **Standard deduction.** **Rs 75,000 or the salary, whichever is less, where income tax is computed under section 202(1), and Rs 50,000 or the salary, whichever is less, in any other case.** Section 202(1) is the default regime, so the higher figure goes with it.
3. **Gratuity.** Death-cum-retirement gratuity and defence retiring gratuity are deductible in full. Gratuity under the Payment of Gratuity Act, 1972 is deductible as computed under that Act. Any other gratuity is the least of the actual gratuity, the amount notified by the Central Government, and half a month's salary for each completed year of service, the salary being the average for the ten months immediately preceding.
4. **Commuted pension.** Deductible in full where received under the Civil Pensions (Commutation) Rules or a similar Government scheme. From any other employer, the deduction is the commuted value of one third of the pension where gratuity has also been received, and of one half in any other case.
5. **Retrenchment compensation.** The least of the compensation received, the amount under section 25F(b) of the Industrial Disputes Act, 1947, and **such amount, not being less than Rs 50,000, as the Central Government may notify.**
6. **Voluntary retirement.** The lesser of the compensation received and **Rs 5,00,000.** The deduction may be claimed only once, in one tax year.
7. **Leave encashment.** The cash equivalent of earned leave at retirement is deductible in full for a Central or State Government employee. For any other employee it is the least of the cash equivalent (earned leave being capped at thirty days for each year of actual service), ten months average salary, the amount notified by the Central Government, and the actual payment received.

House rent allowance, leave travel concession and specified allowances are not deductions under section 19. They operate as **exemptions under the Schedules**, and most are restricted under the default regime.

4.7 Perquisites and allied issues in computation

Advance salary and a loan against salary. Advance salary is salary paid before it falls due and is taxable on receipt, with a second charge prevented when it later becomes due. **A loan against future salary is a debt and is not taxable on receipt**, even though salary secures it; only the salary is taxed as it becomes due.

Leave encashment. Payment during service is at par with salary and fully taxable. Encashment at retirement attracts statutory relief within limits.

Credit for tax deducted by the employer. Where an employer deducts tax at source from salary but never deposits it with the Government, the employee is not to be taxed twice.

There is no tax free salary. If the employer bears the employee's tax, that payment discharges the employee's obligation and is itself a benefit, so it is added to salary; and since the tax on the added amount is also a benefit, the figure must be **grossed up**. Example: salary in hand twenty lakh, tax of two lakh borne by the employer, and tax of twenty thousand on that two lakh, giving total salary of twenty two lakh twenty thousand rupees.

Milan Arvindbhai Patel v. ACIT, Circle 4(1), [2023] 149 taxmann.com 190 (Gujarat High Court, 13 February 2023)

Facts. The assessee, a pilot, had been employed by Kingfisher Airlines, which deducted tax at source from his salary but, having become bankrupt, never deposited it with the Government. The Department raised demands on him for the shortfall for assessment years 2011-12 and 2012-13 and adjusted refunds due to him for later years.

Decision. The petition was allowed. Credit for the tax deducted had to be given to the employee, and the amounts recovered or adjusted were to be refunded with statutory interest.

Principle. Under section 205 an assessee cannot be called upon to pay the tax again to the extent that it has already been deducted at source from his income. Once tax has been deducted, the deductor alone is treated as the assessee in default; deduction at source is only one mode of recovery, and the bar does not depend on credit having actually been given.

A note on where this case belongs. Your session plan lists it under salary, but its ratio concerns recovery and credit for tax deducted at source, not the meaning of salary or the valuation of perquisites. The income simply happened to be salary.

Unit V: Income from House Property

5.1 Rationale of the charge

This head taxes the annual value of the property, that is its capacity to earn, and not merely what the owner receives. The property itself, and not any activity of the owner, is treated as the source, so income is attributed to ownership of the building.

Taxing earning capacity also prevents avoidance, because an owner who keeps a lettable property idle, or lets it cheaply to a relative, is left no better off than one who lets it at a fair rent. Annual value is besides an objective measure, fixed from municipal valuation, rent control standards and comparable rents, without going into the owner's accounts. In return the law allows a flat thirty per cent deduction for repairs without proof of expenditure, and a deduction for interest on borrowed capital.

5.2 Chargeability

Section 20(1): the annual value of property consisting of any buildings or lands appurtenant thereto, owned by the assessee, is chargeable under the head Income from house property.

Section 20(2): this does not apply to portions the assessee occupies for his own business or profession, the profits of which are chargeable to tax. Three conditions must be satisfied.

1. There must be a **building, or land appurtenant to a building**. Income from vacant land alone is not charged under this head.
2. The assessee must be the **owner**.
3. The property must not be occupied by him for his own business or profession whose profits are taxed.

Land appurtenant means land attached to and enjoyed with the building as part of the same unit, such as a courtyard, garden, lawn, parking area or approach road, with the rights enjoyed along with the building.

CIT v. Zaibunnisa Begum, (1985) 151 ITR 320 (Andhra Pradesh)

What the case was. It arose under **section 54**, which relieves capital gains where a residential house is transferred and the proceeds reinvested. The assessee had sold a building with a large extent of land, and the question was how much of it was appurtenant. It is used here for its analysis of the words land appurtenant thereto, which appear in both provisions.

Principle. If the building and the land are treated as an indivisible unit and enjoyed as such by the occupiers, that indicates the whole extent is appurtenant. Where the lands are extensive, an enquiry may be made whether any part contiguous to the building can be put to independent use without detriment to the enjoyment of the building, and land which can be so used is not appurtenant. **Mere contiguity is not sufficient.**

5.3 The heads of income are mutually exclusive

East India Housing and Land Development Trust Ltd v. CIT, (1961) 42 ITR 49 (SC)

Facts. The company was incorporated to buy and develop land. It built a market on its land and let out the shops and stalls, claiming the rent as business income because dealing in property was its business.

Decision. The rent was chargeable as income from house property.

Principle. **The heads of income are specific and mutually exclusive.** Where income falls squarely within the description of a head, it must be computed under that head, whatever the

nature of the assessee's business and however it is treated in the accounts. The character of the income decides the head, not the character of the assessee.

5.4 Ownership and deemed ownership

The charge falls on the owner, and **ownership here is not tested by title deeds alone: the question is who is entitled to the income of the property in his own right.** Two decisions approach this from opposite directions.

CIT v. Podar Cement Pvt Ltd, (1997) 226 ITR 625 (SC)

Facts. The assessees had paid the full price of flats, taken possession and were receiving the rent, but no conveyance had been registered in their favour. The Revenue argued that without a registered document they were not owners.

Decision. They were the owners for the purposes of the charge.

Principle. **Owner means the person entitled to receive income from the property in his own right, and registration of a conveyance is not necessary.** A person who has paid the consideration, taken possession and enjoys the property as owner is the owner, because the provision looks to who in reality enjoys the income.

R.B. Jodha Mal Kuthiala v. CIT, (1971) 82 ITR 570 (SC)

Facts. The assessee's property in Lahore vested in the Custodian of Evacuee Property in Pakistan after Partition. He could neither occupy it nor receive its income, though he remained the title holder.

Decision. He was not the owner for the purpose of the charge.

Principle. **The owner is the person who can exercise the rights of the owner, not on behalf of the owner but in his own right.** Where the whole bundle of ownership rights has passed to another, the holder of a paper title is not taxable on the annual value.

Read with Podar Cement. Both reject a formal test of title and ask who really enjoys the rights and income of ownership, and **Podar Cement** relied on this case. Together: a person without registered title may be the owner, and a person with registered title may not be.

Maneklal Agarwal v. DCIT (SC, 14 July 2017)

Facts. For assessment year 1998-99 the assessee returned income of Rs 67,200. He had leased his property to his own wife, son and daughter in law at nominal rates, and they sub-leased it to outsiders at much higher rents. The assessing officer treated the rent received by the lessees as the assessee's income, taking it at Rs 7,98,000 and assessing Rs 6,38,400 after repairs. The appellate authorities found the leases bogus and the structures raised by the assessee himself.

Decision. The income was rightly taxed in the assessee's hands.

Principle. On the findings of fact, a device had been adopted to show a lesser income in his own hands, and those findings could not be interfered with. **Applying its earlier ruling that the assessing authority has the right to tax the right person,** once the income was found to belong to the assessee he was the right person. The Court noted that the same income had also been taxed in the hands of the family members, who on the department's own case were the wrong persons, and left it open to them to seek redress.

Deemed owner, section 25. Section 25 provides that, for the purposes of sections 20 to 24, **the word "owner" shall include** the following persons. It is an inclusive extension, which sits naturally beside **Podar Cement**: the Act widens ownership rather than narrowing it to registered title.

1. **Clause (a).** An individual who transfers, without adequate consideration, any property to his or her spouse, except under an agreement to live apart, or to a minor child other than a married daughter.
2. **Clause (b).** The holder of an impartible estate, who is deemed the individual owner of all the properties comprised in the estate.
3. **Clause (c).** A member of a co-operative society, company or other association of persons to whom a building or part of it is allotted or leased under a house building scheme of that society, company or association.
4. **Clause (d).** A person allowed to take or retain possession of a building or part of it in part performance of a contract of the nature referred to in section 53A of the Transfer of Property Act, 1882.
5. **Clause (e).** A person who acquires any rights in or with respect to a building or its part, **excluding rights by way of a lease from month to month or for a period not exceeding one year**, either by a transfer through sale or exchange or an original or extendible lease for a term of not less than twelve years, or through any transaction such as becoming a member of or acquiring shares in a co-operative society, company or association, or by any agreement or arrangement, not being a sale, exchange or lease, which has the effect of enabling the enjoyment of the property.

Co-owners, section 24. Where property is co-owned and the share of each is definite and ascertainable, the co-owners are not assessed as an association of persons; the income is computed separately according to each share and included in each co-owner's total income. Section 24(2) adds that **the nil annual value relief under section 21(6) is given as if each co-owner were individually entitled to it.**

5.5 Determination of annual value

Section 2(7) defines annual value, in relation to any property, as its annual value **as determined under section 21**. The definition is therefore circular on its face and sends the reader to section 21, which does the real work through seven sub-sections.

1. **Sub-section (1), the basic rule.** **Annual value is the higher of the expected rent, being the sum for which the property might reasonably be expected to let from year to year, or the actual rent received or receivable if the property is let.** Expected rent is judged from the fair or market rent of comparable property, the municipal valuation, and the standard rent under rent control law where it applies.
2. **Sub-section (2), vacancy.** If a let property was vacant for the whole or part of the year and, because of the vacancy, the actual rent is less than the expected rent, the annual value is the actual rent. The shortfall must be caused by the vacancy.
3. **Sub-section (3), local taxes.** The annual value is reduced by taxes, including service taxes, levied by a local authority and **actually paid during the year by the owner**, whatever the year in which they became payable. Three conditions apply together: levied by a local authority, actually paid, and paid by the owner.
4. **Sub-section (4), unrealised rent.** Rent which cannot be realised by the owner is excluded from actual rent, subject to the prescribed conditions.
5. **Sub-section (5), stock in trade.** Where property held as stock in trade is not let at all during the year, its annual value is **nil for up to two years** from the end of the financial year in which the completion certificate was obtained. A builder who completes a hundred flats and sells ninety pays nothing on the ten unsold flats for two years, after which he is charged on expected rent although they remain unsold and unlet.
6. **Sub-section (6), self occupied houses.** The annual value is nil if the owner occupies the house for his own residence, or cannot actually occupy it for any reason, for instance because his employment is elsewhere.

7. **Sub-section (7), the limit.** That nil valuation applies to only two such houses, as specified by the assessee; any further house is treated as let out and charged on expected rent. It does not apply to a house actually let during the year or in respect of which the owner derives any other benefit.

CIT v. Biman Behari Shaw, Shebait, (1968) 68 ITR 815 (Calcutta)

Facts. A will of 1925 dedicated properties to two deities, creating a debutter estate. Two were temples in Calcutta, and clause 17 barred everyone except the Brahmin performing the worship and the servants from residing there, and barred use for meetings or public functions. For assessment years 1957-58 and 1958-59 the officer computed annual value at open market letting value; the appellate authorities deleted it, holding the premises had no letting value.

Decision. Answered in favour of the Revenue. The Tribunal was wrong.

Principle. Even where a property is not let and produces no income, the officer must proceed on a notional income which the property **might** reasonably be expected to yield, the word being might and not can or is. **A restriction on letting may reduce the letting value but cannot, without more, remove the notional annual income.** Income from property is an artificially defined income and liability arises from the fact of ownership; it does not depend on the owner's power to let or his capacity to receive the annual value.

One reservation. The Court declined to decide whether a temple wholly and exclusively occupied by a deity comes within the provision, as the point did not arise. Cite the case for the notional character of annual value only.

5.6 Deductions

Only the deductions specified in section 22 may be claimed, and expenditure beyond these heads, however genuine, is not allowed.

1. **Thirty per cent of the annual value,** a flat allowance for repairs, collection and maintenance, given whether or not expenditure is incurred, and beyond which nothing can be claimed even if actual expenditure is higher.
2. **Interest on borrowed capital** for acquiring, constructing, repairing, renewing or reconstructing the property, allowed on accrual, so deductible even if not paid during the year.
3. **Pre-construction interest.** Where capital was borrowed for a period before the tax year in which the property was acquired or constructed, that interest is allowed in **five equal instalments**, beginning with the tax year of acquisition or construction.

Example of the third rule. A loan of one crore is taken on 1 April 2023 for construction; the house is completed on 1 April 2026; pre-construction interest is twenty five lakh. Five lakh is deductible in each of five tax years, besides the current year's interest. **The rule spreads the deduction over time; it does not reduce the total.** Section 22(3) adds that this pre-construction interest must first be reduced by any amount already allowed as a deduction under any other provision of the Act.

The ceiling on interest for a self occupied house, section 22(2). Where the annual value is nil under section 21(6), the interest deduction under clauses (b) and (c) together cannot exceed **Rs 2,00,000, and that figure is available only on two conditions:** the property must have been acquired or constructed with borrowed capital and the acquisition or construction completed **within five years from the end of the tax year in which the capital was borrowed;** and the assessee must furnish a **certificate** from the person to whom the interest is payable. If either condition fails, **the ceiling drops to Rs 30,000.** Under section 22(4) the certificate must specify the interest payable on the capital borrowed and the interest on any fresh loan taken to repay that capital.

An overall cap, section 22(5). Where the assessee has two self occupied houses, **the aggregate deduction for both together still cannot exceed Rs 2,00,000.** The ceiling is not per house. These ceilings are in any event restricted under the default regime.

Interest payable outside India, section 22(6). Such interest is not deductible if tax has not been paid or deducted on it under Chapter XIX-B and there is no agent in India as required by section 306.

Arrears and unrealised rent, section 23. Arrears of rent received from a tenant, and unrealised rent realised later, are deemed to be income from house property of the tax year in which they are received, **whether or not the assessee still owns the property in that year,** and a sum equal to thirty per cent of that amount is allowed as a deduction.

5.7 Computation, with a worked example

The computation runs in a fixed order. Take a let out house whose municipal value is Rs 3,00,000 and fair rent Rs 3,60,000, actually let at Rs 35,000 a month, vacant for one month, with municipal taxes of Rs 40,000 of which the owner paid Rs 30,000 during the year, and interest on a housing loan of Rs 1,50,000 for the year.

Table 5.1: Worked computation

Step	Working	Amount (Rs)
Expected rent, higher of municipal value and fair rent	3,60,000	3,60,000
Actual rent for eleven months	35,000 x 11	3,85,000
Gross annual value , the higher of the two	Actual rent is higher	3,85,000
Less local taxes actually paid by the owner	Only the amount paid	(30,000)
Annual value		3,55,000
Less thirty per cent of annual value	30 per cent of 3,55,000	(1,06,500)
Less interest on borrowed capital	For the year	(1,50,000)
Income from house property		98,500

Points the example illustrates. The unpaid Rs 10,000 of municipal tax gets no deduction, because the deduction is on a payment basis. The thirty per cent is computed on the annual value after taxes, not on the gross annual value. **For a let out property interest has no ceiling, so the income may well be a loss where the loan is large.**

Quick Revision: Key Figures and Thresholds

Every number a question in these units is likely to turn on, in one place.

Point	Figure
Income-tax Act, 2025	Act 30 of 2025; assent 21 August 2025; in force 1 April 2026; 536 sections, 23 chapters, 16 schedules
First tax year under the new Act	2026-27
Residence, basic test	In India 182 days or more in the tax year
Residence, second test	60 days or more in the tax year and 365 days or more in the four preceding years
Visiting citizen or person of Indian origin	120 days replaces 60 days where Indian income exceeds Rs 15 lakh
Deemed resident	Indian citizen, Indian income above Rs 15 lakh, not liable to tax anywhere else
Not ordinarily resident	Non-resident in 9 of the 10 preceding years, or in India 729 days or less in the 7 preceding years
Partial integration of agricultural income	Applies where net agricultural income exceeds Rs 5,000
Tea grown and manufactured by the seller	60 per cent agricultural, 40 per cent business income
Standard deduction from salary	Rs 75,000 where tax is computed under section 202(1), else Rs 50,000
Employer contributions, section 17(1)(h)	Taxable above a combined Rs 7,50,000 a year across recognised PF, section 124 pension scheme and approved superannuation fund
Voluntary retirement, section 19	Lesser of compensation received and Rs 5,00,000
Retrenchment compensation, section 19	Notified amount, not less than Rs 50,000
Indirect transfer, section 9(10)	Indian assets must exceed Rs 10 crore and be at least 50 per cent of all assets
Free education for an employee's child	Threshold of Rs 1,000 per month per child, not a deduction
House property, standard deduction	30 per cent of the annual value
Self occupied house, interest ceiling	Rs 2,00,000 if completed within five years of the end of the tax year of borrowing and a certificate is furnished, else Rs 30,000
Self occupied houses, overall cap	Rs 2,00,000 in aggregate for both houses together, section 22(5)
Pre-construction interest	Five equal annual instalments
Nil annual value for self occupation	Maximum of two houses
Stock in trade, nil annual value	Two years from the end of the financial year of the completion certificate
Arrears and unrealised rent later realised	Taxed on receipt, after a deduction of 30 per cent
Health and Education Cess	4 per cent of tax plus surcharge
GAAR	Not invoked where the tax benefit does not exceed Rs 3 crore
States' share of the divisible pool	41 per cent, retained by the Sixteenth Finance Commission for 2026 to 2031

List of Cases, Topic Wise

Every case discussed above, grouped by topic, with the proposition for which it is cited.

A. Tax, fee and cess; types of taxes; avoidance

1. **Delhi Race Club Ltd v. Union of India**, (2012) 8 SCC 680 (SC). A licence fee may be regulatory or compensatory. A regulatory fee needs no quid pro quo and is not a tax, provided it is not excessive.
2. **Knowlton v. Moore**, 178 U.S. 41 (1900) (US SC). A death or legacy duty taxes the transmission of property and is in the nature of an indirect tax.
3. **McDowell and Co. Ltd v. Commercial Tax Officer**, (1985) 3 SCC 230 (SC). A colourable device to avoid tax deserves no protection. The strong observations against avoidance are those of Chinnappa Reddy J. in a separate judgment.

B. Concept of income

1. **CIT, Madras v. G.R. Karthikeyan**, (1993) 201 ITR 866 (SC). The definition of income is inclusive, not exhaustive. Prize money won by skill and endurance is income, and a casual, non recurring receipt is still income.
2. **CIT v. K. Thangamani**, (2009) 309 ITR 15 (Mad). Income earned unlawfully is taxable; an assessee cannot plead his own wrongdoing.
3. **CIT, Bombay City I v. Shoorji Vallabhdas and Co.**, (1962) 46 ITR 144 (SC). Tax is a levy on real income. A book entry of hypothetical income which does not materialise cannot be taxed.

C. Application and diversion of income

1. **CIT, Bombay City II v. Sitaldas Tirathdas**, (1961) 41 ITR 367 (SC). The true test is whether the amount never reached the assessee as his income. Income diverted by an overriding title before it reaches him is deductible; income applied after reaching him is not.
2. **CIT v. Sunil J. Kinariwala**, (2003) 259 ITR 10 (SC). Assigning a share of partnership profits to a trust is application, not diversion, as the trust got no title to the firm's profits.

D. Doctrine of mutuality

1. **Styles (Surveyor of Taxes) v. New York Life Insurance Co.**, (1889) 14 App Cas 381 (HL). A surplus of members' own excess contributions in a mutual concern is not an assessable profit.
2. **Bangalore Club v. CIT**, (2013) 5 SCC 509 (SC). Interest on fixed deposits with banks is taxable. Once the money enters the bank's commercial stream the condition against profiteering fails, even if the bank is a corporate member.

E. Person and assessee, residence, control and management

1. **M.M. Ipoh v. CIT, Madras**, AIR 1968 SC 317 (SC). An association of persons means persons who join in a common purpose or action with the object of producing income; volition, unity of purpose and a profit making objective are required.
2. **V.V.R.N.M. Subbayya Chettiar v. CIT, Madras**, (1951) 19 ITR 168 (SC). A Hindu undivided family is presumed resident, and the onus of proving control and management wholly outside India lies on the assessee. Control and management means the controlling and directing power, the head and brain.

3. **Narottam and Parekh Ltd v. CIT, Bombay City**, AIR 1954 Bom 67 (Bom). Control and management means central control, not the day to day doing of business. The test is where the seat of power functions. This underlies the place of effective management test.

F. Income deemed to accrue or arise in India

1. **Vodafone International Holdings B.V. v. Union of India**, (2012) 6 SCC 613 (SC). Section 9(1)(i) is not a look through provision, so an offshore transfer of shares of a foreign company between non-residents was not taxable in India. The position was altered prospectively by later amendment.

G. Agricultural income

1. **CIT v. Raja Bahadur Kamakshya Narain Singh**, (1948) 16 ITR 325 (PC). Interest on arrears of rent of agricultural land is not agricultural income.
2. **Mustafa Ali Khan v. CIT**, (1948) 16 ITR 330 (PC). The meaning of agriculture in other statutes is irrelevant to tax law, and cultivation involving human skill and labour on the land is essential.
3. **Premier Construction Co. Ltd v. CIT, Bombay City**, (1948) 16 ITR 380 (PC). A managing agent's commission computed on partly agricultural profits is not agricultural income. Income does not become agricultural by reason of its source or the method of its calculation.
4. **Bacha F. Guzdar v. CIT, Bombay**, (1955) 27 ITR 1 (SC). Dividend from a tea company is not agricultural income even in part. Company and shareholder are distinct, and the dividend flows from the shareholding.
5. **CIT v. Maddi Venkatasubbayya**, (1951) 20 ITR 151 (Mad). The market process limb is open only to a cultivator or receiver of rent-in-kind for his own produce.
6. **CIT, West Bengal v. Raja Benoy Kumar Sahas Roy**, (1957) 32 ITR 466 (SC). The two tier test. Basic operations on the land are essential, and subsequent operations qualify only in combination with them. Spontaneous growth is not agricultural, but replanted areas are.
7. **Sakarlal Naranlal v. CIT, Gujarat**, AIR 1965 Guj 165 (Guj). Where there is no market for the produce as grown, the process needed to make it saleable continues the agricultural operations. The market is judged by the area where the produce is grown.
8. **K. Lakshmanan and Co. v. CIT**, (1999) 239 ITR 597 (SC). The section does not contemplate the sale of a commodity different from what is cultivated. Silk cocoons from mulberry leaves are not agricultural income.
9. **CIT, Poona v. H.G. Date**, (1971) 82 ITR 71 (Bom). Conversion of sugarcane into jaggery was agricultural, as the cane had no market as grown.
10. **B. Nagi Reddi v. CIT**, (2002) 258 ITR 719 (Mad). Shooting hire charges for use of a garden are not agricultural income, there being no basic operation on the land.
11. **DCIT v. Inventaa Industries Pvt Ltd**, (2018), ITAT Hyderabad (SB). Mushrooms grown in trays of prepared compost yield agricultural income.
12. **PCIT-1 v. British Agro Products (India) Pvt Ltd**, [2025] 175 taxmann.com 618 (Mad). Mushrooms grown in a factory under controlled conditions are not agricultural income. The Court declined to follow *Inventaa*. Appeal admitted in the Supreme Court.
13. **CIT v. B. Gupta (Tea) Pvt Ltd**, (1969) 74 ITR 337 (Cal). Insurance money for hail damage to a growing tea crop is agricultural income, because it represents the profits of agricultural operations.
14. **Jayanti Botanical Gardens v. ITO**, ITA No. 36/Bang/2020 (ITAT Bangalore). Only the sale of saplings and seedlings grown in the assessee's own nursery is deemed agricultural income; the landscaping part of a composite contract is business income.

H. Salary: chargeability and the employment relationship

1. **CIT v. L.W. Russel**, AIR 1965 SC 49 (SC). A benefit is chargeable only when a vested right arises, so a contingent interest under an employer funded superannuation scheme is not a perquisite when the contribution is made.
2. **Ram Pershad v. CIT, New Delhi**, (1972) 86 ITR 122 (SC). The test between a contract of service and a contract for service is the extent of the company's power to control and supervise the manner of work.
3. **CIT v. Shiv Charan Mathur**, (2008) 306 ITR 126 (Raj). An MLA or Minister has no employer and no master and servant relationship, so the salary and allowances fall under income from other sources.
4. **Jayaram Rangan v. ACIT**, ITA No. 1770/Chny/2019 (ITAT Chennai). Professional fees paid to a person designated Managing Director are not salary where the conduct of the parties shows an independent engagement.
5. **Milan Arvindbhai Patel v. ACIT**, [2023] 149 taxmann.com 190 (Guj). Where an employer deducts tax at source from salary but does not deposit it, section 205 bars recovery from the employee, who must still be given credit.

I. Salary: perquisites

1. **CIT (TDS) v. Director, Delhi Public School**, (2011) (P and H). The limit of Rs 1,000 per month per child for free education is a threshold and not a standard deduction, so once it is crossed the whole value is taxable.
2. **CIT-26 v. Shankar Krishnan**, (2012) 349 ITR 316 (Bom). Notional interest on an interest free security deposit given by the employer to the landlord is not added to the perquisite value of the accommodation.
3. **ITC Ltd v. CIT (TDS)**, (2016) 384 ITR 14 (SC). Tips collected from customers and passed on are not salary, so section 192 does not apply.

J. House property

1. **CIT v. Zaibunnisa Begum**, (1985) 151 ITR 320 (AP). Land is appurtenant where building and land form an indivisible unit enjoyed as such. Mere contiguity is insufficient. Decided under section 54 and applied here by analogy.
2. **East India Housing and Land Development Trust Ltd v. CIT**, (1961) 42 ITR 49 (SC). Rent from shops and stalls in a market built by a land development company is income from house property. The heads are specific and mutually exclusive.
3. **CIT v. Podar Cement Pvt Ltd**, (1997) 226 ITR 625 (SC). Owner means the person entitled to receive income from the property in his own right; a registered conveyance is not necessary.
4. **R.B. Jodha Mal Kuthiala v. CIT**, (1971) 82 ITR 570 (SC). The owner is the person who can exercise the rights of the owner in his own right.
5. **Maneklal Agarwal v. DCIT** (SC, 14 July 2017). Where leases to family members at nominal rents were a device, the rent received by the sub-lessees was taxable in the assessee's hands.
6. **CIT v. Biman Behari Shaw, Shebait**, (1968) 68 ITR 815 (Cal). Annual value is notional. A restrictive clause in a will may reduce the letting value but cannot remove it.

The One Case Not Written Up

Every case in the session plan for these Units is now covered above, with one exception. **CIT v. Delhi Cloth and General Mills Co. Ltd**, cited in the session plan as MANU/PH/0103/1955 under

income from house property, could not be located in any accessible source, so no facts or holding are stated for it.

A lead worth following. There is a Punjab and Haryana High Court decision on exactly this topic whose reported date is 8 February 1965 rather than 1955, titled ***CIT, Delhi and Rajasthan v. Delhi Cloth and General Mills Co. Ltd.*** The company owned chawls, quarters and shops near its Delhi mill, let mostly to its own employees, with Rs 1,03,964 recovered from employees' wages against Rs 8,163 from outsiders. For assessment years 1948-49 and 1949-50 the question was whether that rent was income from property or income from business, the company arguing that the premises were let to employees for the purposes of its business. The visible part of the judgment suggests the Court leaned towards the business head. **The full holding is not verified, so do not cite it until you have read it.** It is possible that the session plan citation is this decision with the year mistyped.

A naming point that would cost marks. The session plan gives MANU/GJ/0004/1965 as ***Sakarlal Balabhai and Co. v. CIT, Gujarat.*** The 1965 Gujarat agricultural income decision is ***Sakarlal Naranlal v. CIT, Gujarat***, AIR 1965 Guj 165, the galka and loofah case in paragraph 3.7.3. ***CIT v. Sakarlal Balabhai***, (1968) 69 ITR 186, is a different decision on tax avoidance and dividend stripping, with nothing to do with agricultural income.

Table of Statutes

Constitution of India

Articles 14, 19(1)(g), 19(6), 27, 110, 245, 246, 246A, 248, 265, 268, 269, 269A, 270, 271, 275, 279, 279A, 280, 281, 282, 292, 293 and 300A. Seventh Schedule: List I Entries 82 to 92B and Entry 97; List II Entries 45 to 63, particularly Entry 46; List III Entry 44. Constitution (One Hundred and First Amendment) Act, 2016.

Income-tax Act, 2025

Sections 2(5), 2(11), 2(22)(iii), 2(49), 2(77), 3, 4, 5, 6, 9, 11, 12, 13, 14, 15, 16, 17, 18, 19, 20, 21, 22, 23, 24, 25, 124, 125, 202(1), 306 and 178 to 184, with Schedules II, III, VII and VIII.

Other legislation and rules

Income-tax Act, 1961, sections 2(1A), 2(7), 2(24), 2(31), 3 to 6, 9, 10, 14, 14A, 15 to 17, 22 to 27, 54, and 95 to 102. Indian Income-tax Act, 1922, sections 4A(b) and 4A(c), construed in ***Subbayya Chettiar*** and ***Narottam and Parekh***, section 7(1), construed in ***L.W. Russel***, and section 9, construed in ***Biman Behari Shaw*** and ***Jodha Mal***. The annual Finance Act, for rates and partial integration. The Taxation Laws (Amendment) Act, 2021. The Transfer of Property Act, 1882, section 53A. The Income-tax Rules, for valuation of perquisites, apportionment of composite tea income, and the GAAR threshold.